

## **On Income and/or Wealth**

Which is the number-one income-consuming category among the affluent? Income tax. The affluent in the \$200,000-and-more annual realized income category account for only about 1 percent of U.S. households but pay 25 percent of the tax on personal income. They will want to become better at realizing less income in the future.

What will happen in the year 2005, when millionaire households will control 59 percent of America's personal wealth? The government will likely place increased pressure on the affluent, possibly by creating innovative ways to tax wealth in addition to income. This prospect, according to our surveys of millionaires, is foremost on the minds of the affluent. Paying increasingly higher taxes to cover government spending and reduce the federal deficit is among the greatest fears of the affluent population. Several states already have a wealth tax. Each year residents in such states must list all the financial assets they own; a tax is levied on stocks, bonds, time deposits, and so on. How difficult would it be for our federal government to tax wealth this way? Not too difficult, since it already knows how some states tax capital before it becomes realized income.

We believe that in the next twenty years, the affluent will have to use every option within the law to remain affluent. It is a segment of our economy that will be under siege by the liberal politician and his friend, the tax man. Surely the affluent will readily spend their money for legal advice that will help them withstand the siege. The tax attorney will prove to be an integral part of the defense. Thus, the second area of law we recommended to the father for his son was tax law.

**TABLE 7-3**  
**PREDICTED NUMBER AND VALUE<sup>1</sup> OF ESTATES OF \$1**  
**MILLION OR MORE**